

Market Cap.
202,210.15
BILLION VND

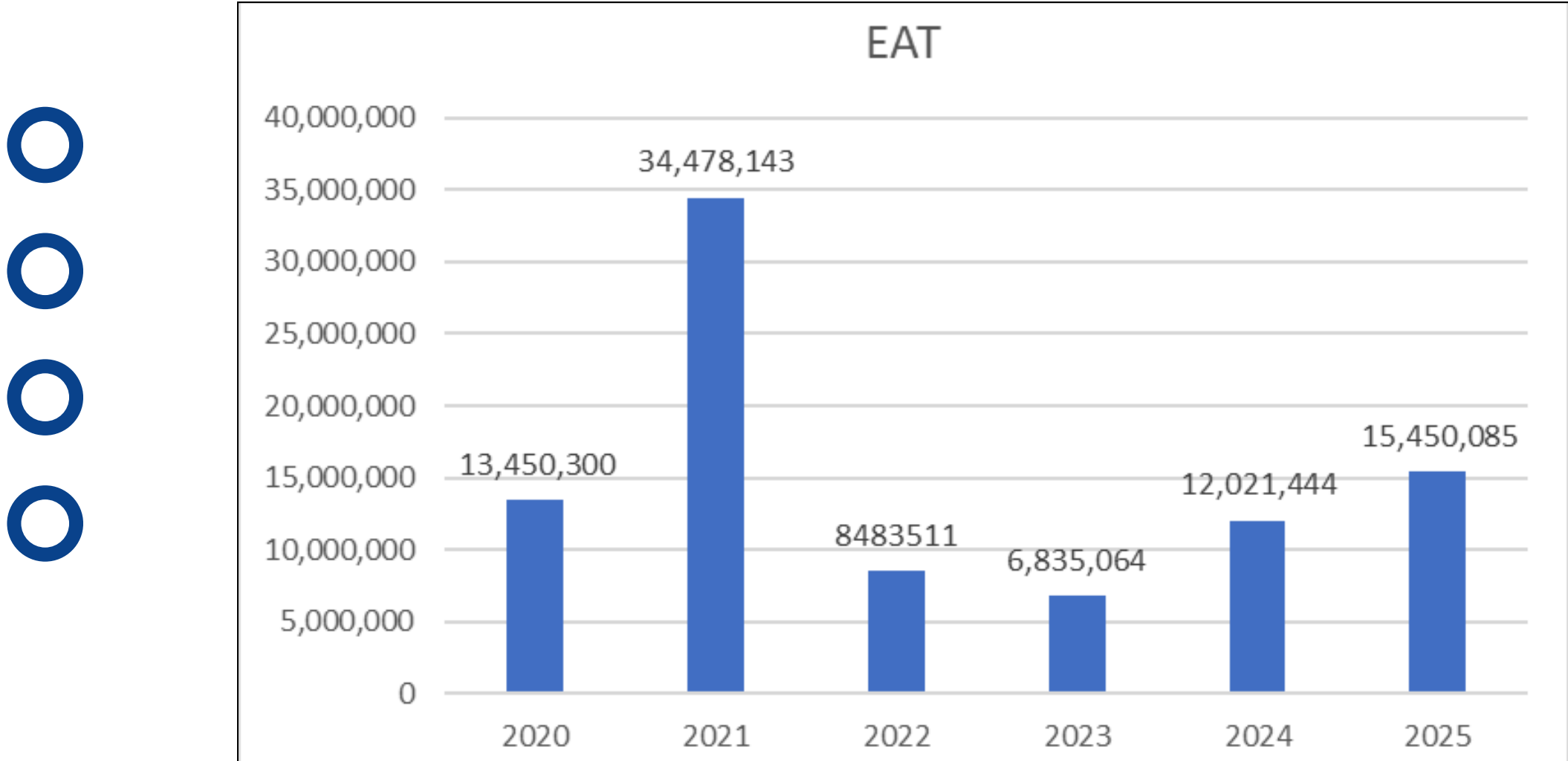
Total Revenue
156,116
BILLION VND

P/E
11.98

EPS
2,204

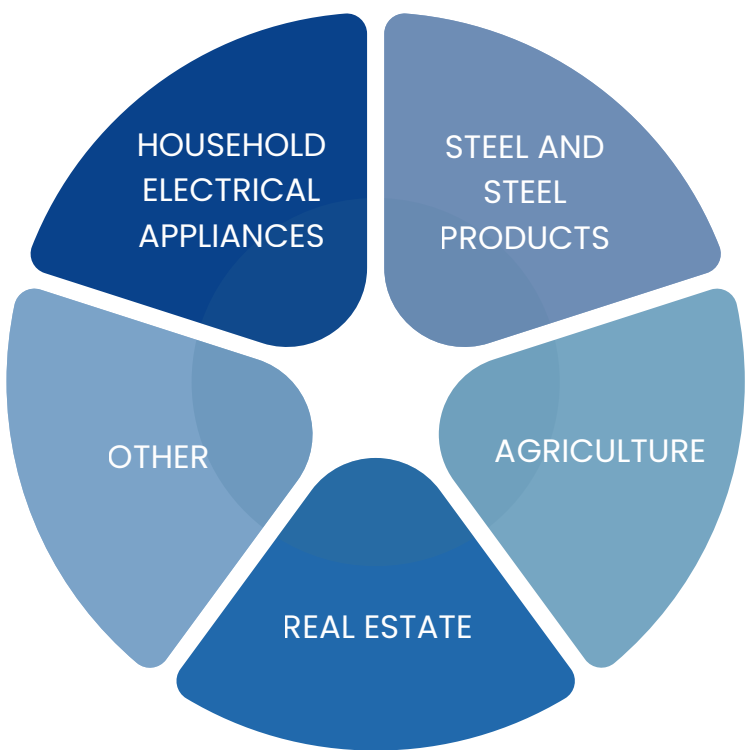
Market position

Hoa Phat Group is the largest steel producer in Vietnam and has maintained a leading position in construction steel for many consecutive years. The company operates an integrated steel production model, covering the entire value chain from iron ore to finished products, which provides significant advantages in terms of cost efficiency and economies of scale. Hoa Phat focuses on key product segments, including construction steel, hot-rolled coil (HRC), steel pipes, coated steel sheets, and containers. In addition, HPG is also involved in agriculture, real estate, and household electrical appliances. HPG is currently a large-cap stock listed on the HOSE and is commonly included in the portfolios of both domestic and foreign investment funds.



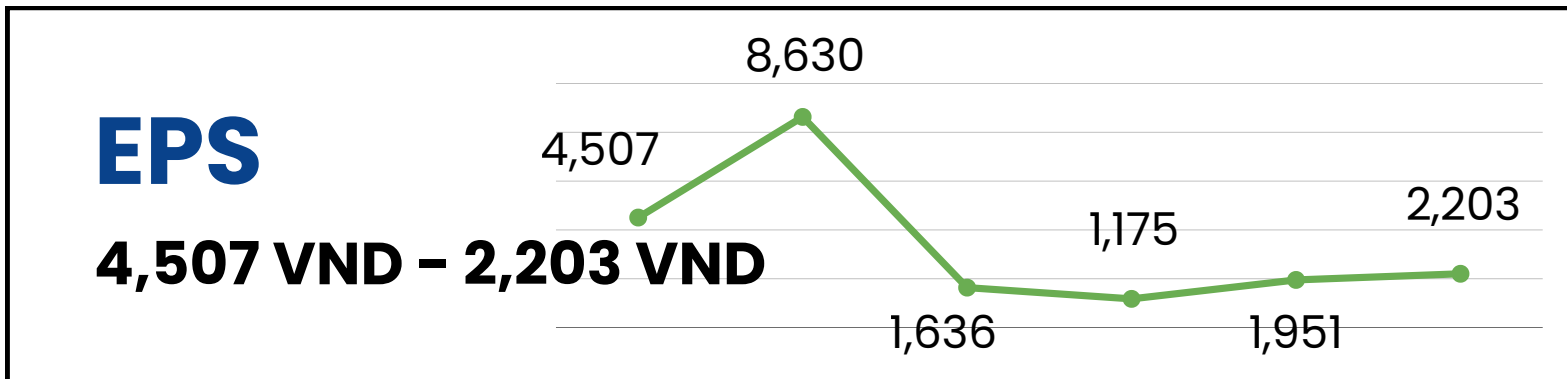
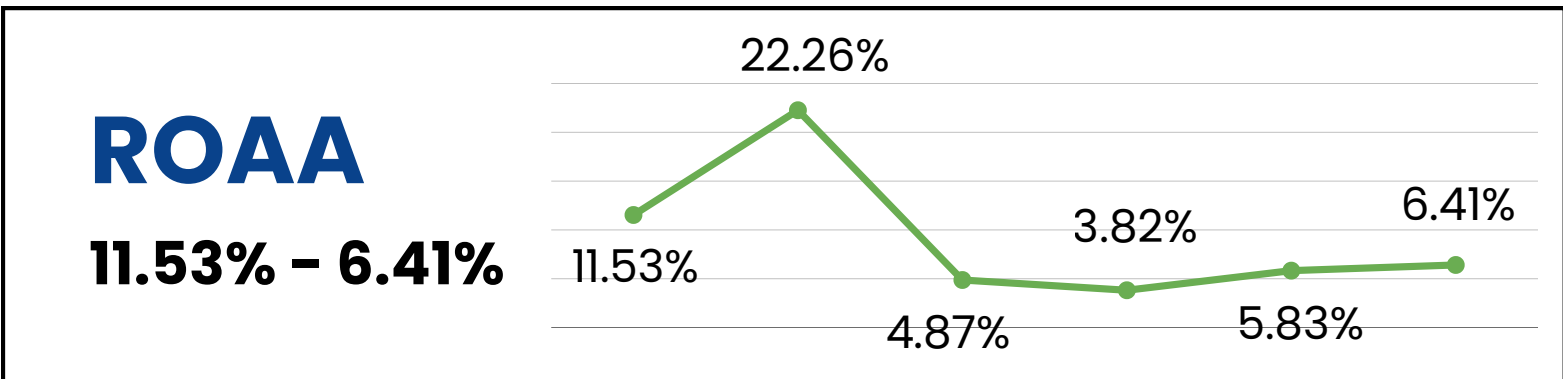
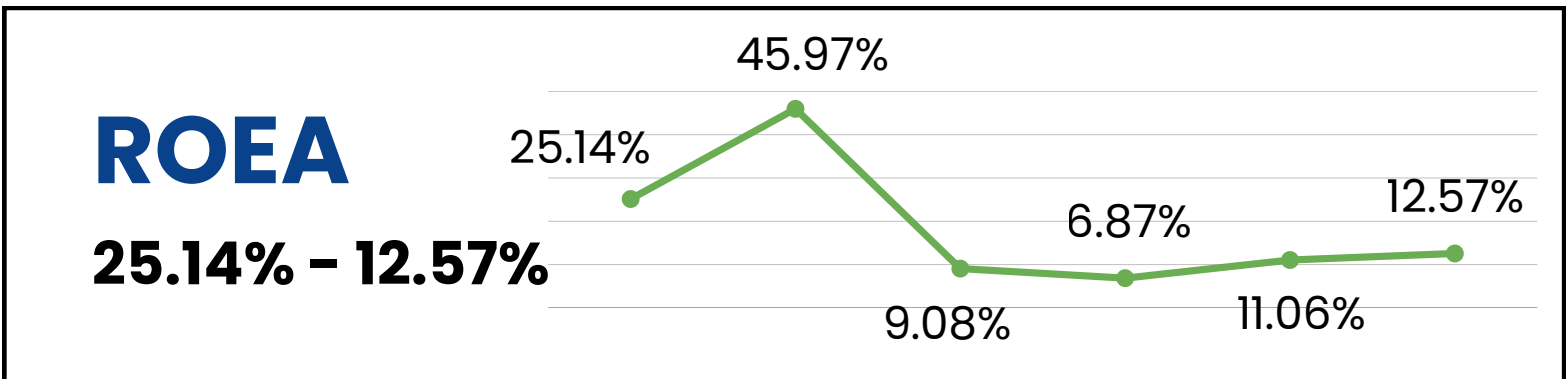
Business model

Hoa Phat operates under a parent–subsidiary structure, implementing a diversified business strategy to optimize operational efficiency and mitigate risks. The Group has expanded into multiple sectors, with a focus on the following core segments:



Financial performance

During the 2020–2021 period, the company experienced exceptional growth driven by a sharp increase in steel prices. This was followed by a decline in 2022 and 2023 due to a downturn in the real estate market and weakening steel demand. From 2024 onward, revenue has shown signs of recovery. From a long-term perspective, revenue has maintained a compound annual growth rate (CAGR) of approximately 15–16% per year. Therefore, the stock may be suitable for medium- to long-term investment. HPG’s net profit after tax fluctuates significantly in line with the steel cycle, peaking in 2021, declining in 2022 and 2023, and recovering from 2024 onward. Return on equity (ROE), return on assets (ROA), and earnings per share (EPS) have shown signs of improvement, but they remain dependent on the overall performance of the steel industry.

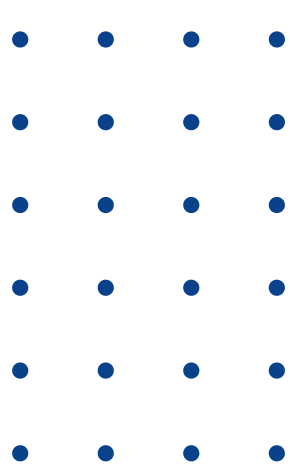


Medium and long-term prospectus

HPG is currently developing the Dung Quat 2 project, which is expected to increase its total crude steel capacity to approximately 15–16 million tons per year upon completion. Growth drivers include:

- Public investment and infrastructure development in Vietnam
- Recovery of the real estate market
- Increasing domestic demand for hot-rolled coil (HRC)
- Expansion of export markets

With an improved financial foundation in 2024 and a recovering industry cycle,
HPG has strong potential for growth in the medium to long term.



RISK TOLERANCE

HPG stock is considered to carry a medium–high level of risk, primarily due to the cyclical nature of the steel industry. Key risk factors include:

- Volatility in iron ore and coking coal prices
- Dependence on the real estate market and public investment
- Competitive pressure from imported steel

However, given its large scale and cost advantages, Hoa Phat is better positioned to withstand industry fluctuations compared to many of its peers.

TIME HORIZON

HPG is suitable for investors with a medium to high risk appetite and a medium to long-term investment horizon because:

- The steel industry is highly cyclical, with profits fluctuating in line with economic cycles.
- Capacity expansion projects require time to generate cash flows.
- Strong recovery potential as the industry enters a new growth phase in its cycle.